

Cash Buyer Beware

What to Know Before Mom Signs Anything



Ryan Riggins

RIGGINS STRATEGIC SOLUTIONS

*"For 8 years I bought houses from families in crisis.
This guide is everything I learned on that side of the table."*

A plain-English protection guide for families navigating senior home sales.

NC Real Estate License #361546 · eXp Realty
rigginsstrategicsolutions.com

From Ryan

I'll start with the part most people won't tell you.

For 8 years I was the guy showing up at your parents' door with a "cash offer." I flipped houses across North Carolina. More than half of what I bought came from seniors in crisis. A husband had just died. A wife was moving to memory care. A widow couldn't keep up with the stairs anymore.

I bought those houses for 60 cents on the dollar.

That was the math. That was the business. I was good at it.

I switched sides in 2024. Not because I ran out of houses to flip. Because I couldn't watch one more family lose \$50,000 in equity that should have stayed in their pocket.

This guide is everything I learned on that side of the table. Read it. Share it with your siblings. Read it again the day a "we buy houses" guy shows up at Mom's door.

The point isn't to scare you. The point is to make sure you walk into the conversation with the same information he has.

That's all it takes.

What "We Buy Houses" Actually Means

A "we buy houses" sign in the yard. A postcard in the mail. A robocall to Mom's landline. A guy who knocks at 6 PM on a Tuesday because he "drove by and noticed the house."

These all come from the same world. It's called wholesaling.

Here's how it works, in plain English:

A wholesaler doesn't actually buy houses with their own money most of the time. They find a motivated seller (usually an older homeowner in some kind of crisis), get them to sign a contract at 50 to 70 percent of fair market value, and then sell that contract to an investor for a fee. The investor closes the deal and either flips it for a profit or holds it as a rental.

The wholesaler walks away with \$5,000 to \$25,000 for putting the deal together. The investor walks away with a property at 30 to 50 percent below market. The seller walks away with cash, but a lot less than the house was worth.

That's the math. Now let me show you the numbers.

The Math: What Cash Buyers Actually Pay

Let's say Mom's house is worth \$300,000 in a normal retail sale. Here's what each option pays out:

Traditional MLS Sale (3-6 months)

- Sale price: \$300,000
- Realtor commission (5-6%): \$15,000-\$18,000
- Closing costs: \$3,000-\$5,000
- Net to Mom: \$277,000-\$282,000

Cash Buyer / Wholesaler (7-14 days)

- Offer price: \$180,000-\$210,000 (60-70% of market)
- No commission
- Closing costs covered by buyer
- Net to Mom: \$180,000-\$210,000

Difference: \$67,000 to \$102,000 in lost equity.

That's not a small number. That's a year of memory care. That's the down payment on a smaller home she actually wants. That's the inheritance you and your siblings were counting on for college, retirement, or the family vacation house.

And the wholesaler walks away with \$10,000 to \$20,000 for putting the deal together. The investor flips it in 6 months for \$260,000 to \$280,000.

Everybody wins. Except Mom.

The 5 Questions to Ask Before Mom Signs Anything

If a buyer (or "buyer's representative") is in Mom's living room right now, here are the 5 questions that change everything.

Question 1: "Are you the actual buyer, or are you putting this under contract to sell to someone else?"

This is the wholesaler test. A real buyer will say yes. A wholesaler will say something like "I work with a group of investors" or "I represent a buyer."

If they're a wholesaler, the price they're offering has at least \$10,000-\$20,000 of their fee built into it. That's money that could have stayed in Mom's pocket.

What to do: If they're a wholesaler, ask them to introduce you directly to the actual buyer. They probably won't. That's information.

Question 2: "What's the assignment fee on this contract?"

The "assignment fee" is the wholesaler's cut. Real ones will sometimes tell you. Most will dodge.

If they dodge, that's also information. The fee is built into the price they're offering Mom. Knowing the fee tells you how much room there is to negotiate.

What to do: If they admit to a \$15,000 assignment fee on a \$200,000 offer, ask if Mom can save that \$15,000 by selling directly to the investor instead.

Question 3: "Can I get a copy of this contract to review with a lawyer before I sign anything?"

This is the question that ends 80% of wholesaler deals.

If they say "the offer is only good if you sign tonight" or "we have to move fast or we lose the funding," that's not a real estate transaction. That's a pressure tactic. Real buyers wait 24-48 hours for review. Wholesalers can't because their math falls apart when you compare options.

What to do: If they refuse to let you review the contract, walk them to the door. Tell them you'll be in touch after a lawyer looks at it. They won't be back.

Question 4: "How many different buyers have offered on the house in the last week?"

This is the anchoring trap, and it's the one most families don't see coming.

Here's how it works:

Wholesaler A shows up Monday. Offers \$150,000. Mom thinks about it, says no.

Wednesday, Wholesaler B shows up. Different name, different LLC, different business card. Offers \$130,000. Mom is taken aback. \$130K is even worse than the first offer.

Friday, Wholesaler A calls back. "I'm still interested. The \$150K is on the table if you can decide today."

Suddenly \$150K sounds like a great deal. Mom signs.

The house was worth \$300,000.

This is a sales tactic called "anchoring." Your brain compares numbers to other nearby numbers, not to the true value of the thing being sold. Wholesalers (whether working together or just hitting the same vulnerable seller by coincidence) use this to make their bad offer look like the good option by comparison.

Sometimes they're literally the same operation behind different business cards. Sometimes they're competing wholesalers who just happen to all target the same motivated seller. Either way, the math works the same. Mom loses.

What to do:

- If 2 or more buyers have approached Mom in the same week, slow EVERYTHING down. Don't sign anything for at least 7 days.

- Don't tell any buyer what the others offered. They will use that information against you.
- Get a real real estate agent (not connected to any of these buyers) to do a free Comparative Market Analysis. Takes 30 minutes. Tells you what the house is actually worth at retail.
- Compare the lowball offers to the real market value, not to each other.
- Check the LLCs too. Look each one up on the NC Secretary of State business search (sosnc.gov, free). If they share the same registered agent, you are not seeing separate buyers. You are seeing one operator with multiple business cards.

Question 5: "What happens if Mom needs to back out after she signs?"

A real buyer will reference contingencies, inspections, and an earnest money deposit that's at risk for the buyer.

A wholesaler will reference "we can release you from the contract for a fee" or "we'd have to keep the earnest money." The earnest money on these deals is usually \$500-\$2,000. That's a cheap option for them to lock Mom up while they shop the contract.

What to do: Ask for the contingency clause in writing before signing anything. If there isn't a clean cancellation window for the seller, don't sign.

7 Red Flags Wholesalers Hope You Miss

The 5 questions above are the proactive moves. These red flags are the defensive ones.

If any of these show up, slow down.

1. They want to do everything tonight. Real real estate transactions take 30-45 days. "Tonight" is a pressure tactic, not a deadline.
2. They don't have a business card with a brokerage on it. Real buyers either work through a real estate agent (who's licensed and bonded) or have a registered LLC with a real address. If their card just has a phone number and a first name, that's a flag.
3. They walk through the house but don't take notes. Real buyers measure rooms, photograph electrical panels, ask about the roof age. Wholesalers spend 5 minutes looking around because they're going to sell the contract to someone else who'll do the real inspection.
4. They use the phrase "as-is" without explaining what that means. "As-is" sounds like a favor to Mom (she doesn't have to fix anything). What it actually means is the buyer can use any condition issue as leverage to lower the price after the contract is signed.
5. They offer to pay in cash but want to use their own title company. Real cash buyers use a neutral title company. Wholesaler-friendly title companies are part of the system. They'll process the assignment without flagging it to the seller.
6. They're already talking about "renovation." A wholesaler with no construction background talks about "renovation" because that's how they justify the low offer. A real flipper talks about specific work (roof, HVAC, kitchen) with specific cost estimates.
7. They show up unannounced more than once. Real buyers schedule visits. Door-knocking 2-3 times means they're hoping to catch Mom when nobody else is around to ask questions.

What Mom Doesn't Have to Settle For

Most families think they have two choices: sell fast to a cash buyer, or list traditionally and wait 6 months.

That's not true. There are at least 5 other ways to sell a house, depending on the situation. Mom probably qualifies for more than one of them.

Before You Pick An Option: Get An Attorney Involved

Whichever option Mom picks, real estate transactions need to be done right. North Carolina is one of nine states that legally require an attorney to handle the closing (along with Connecticut, Delaware, Georgia, Kentucky, Massachusetts, New Hampshire, South Carolina, and West Virginia). If you are in any other state, a title company can technically handle a basic transaction without an attorney.

But here is the part that matters: for Options 3, 4, and 5 below (Owner Financing, Lease-Option, and Sub2), you need an attorney even if your state does not require one. These are not standard transactions. The wrong paperwork can put Mom on the hook for someone else's mortgage default, expose her to tax penalties she did not see coming, or create a legal mess that takes years to untangle.

I can talk through which option fits Mom's situation based on what I have seen in the field. A skilled real estate attorney is the one who draws up the paperwork to protect both sides and educates Mom on the actual pros, cons, and risks of each path. That is the right division of labor. Use both.

When you are interviewing attorneys for Options 3-5 specifically, ask: "How many owner-financed (or lease-option, or sub2) deals have you personally drafted in the last two years?" If the answer is less than 5, find someone else. These transactions need someone who has done them before, not someone who is learning on Mom's deal.

Option 1: Traditional MLS Sale

- Best for: Houses in decent condition, no urgent timeline
- Timeline: 30-90 days

- What Mom keeps: Full retail value minus 5-6% commission
- Drawback: Requires showings, repairs, and the house being market-ready

Option 2: As-Is MLS Sale

- Best for: Houses that need work but have time
- Timeline: 30-60 days
- What Mom keeps: Slightly under retail (8-12% discount typical) but way more than cash buyer
- Drawback: Smaller buyer pool, but still way bigger than just wholesalers

Option 3: Owner Financing

- Best for: Houses worth \$300K+, families who don't need all cash up front
- Timeline: 30-60 days
- What Mom keeps: Full retail price, sometimes higher, paid out monthly over 3-7 years
- Bonus: Monthly income for Mom while she's in memory care or assisted living
- Drawback: Mom has to act as the bank. Complex but worth it for the right family.

Option 4: Lease-Option (Rent-to-Own)

- Best for: Houses in a down market, or houses where Mom isn't ready to give up ownership
- Timeline: 30-60 days
- What Mom keeps: Monthly rent + an option fee + future sale at agreed price
- Drawback: Mom is still the owner until the option is exercised. Tax implications.

Option 5: Sub2 (Subject To)

- Best for: Houses with a mortgage Mom can't keep paying, especially foreclosure-adjacent situations
- What Mom keeps: Walk-away money plus mortgage payoff
- Important: This involves an investor taking over Mom's mortgage payments while the loan stays in Mom's name. Real strategy, but the buyer needs cash reserves and proven track record. Reference: Garn-St. Germain Act, 12 USC 1701j-3.

- Drawback: Risk to Mom's credit if the buyer doesn't pay. Only do this with a vetted, professional buyer.
-

What If Mom Already Signed?

If you're reading this AFTER Mom already signed a contract with a cash buyer or wholesaler, don't panic. Here's what to check.

Check 1: Is there a cancellation window?

North Carolina law gives some buyers a 3-day rescission period on certain contracts. The same protections don't always apply to seller-side, but contracts can include them.

Read the contract carefully. Look for sections labeled:

- "Right of Rescission"
- "Cancellation"
- "Termination"
- "Contingencies"

If there's a window, you may have 24-72 hours to back out without penalty.

Check 2: What's the closing date?

Most contracts close 7-30 days after signing. If closing is more than 7 days out, you have time to:

- Get a real real estate agent involved
- Order an appraisal (compare what they're paying vs. real value)
- Talk to a real estate attorney
- Investigate whether the contract is being assigned

Check 3: Was anything signed under duress?

"Duress" is a legal term. If Mom signed because she was scared, confused, sleep-deprived, or rushed, an attorney may be able to argue the contract is invalid.

This isn't a DIY situation. If you suspect duress, call a North Carolina real estate attorney within 24 hours.

Check 4: Was Mom of "sound mind" when she signed?

If Mom has been diagnosed with dementia, Alzheimer's, or any cognitive impairment, she may not have the legal capacity to enter into a real estate contract. A doctor's note or recent assessment can void the contract.

Check 5: Was the contract assigned to someone else without Mom's written consent?

This one is huge and most families do not know about it.

The standard North Carolina Offer to Purchase and Contract (Form 2-T, used by NC Realtors) includes language that requires written consent of all parties before the contract can be assigned to a different buyer. If Mom signed that standard form and then the wholesaler quietly sold the contract to an investor without Mom's signed consent, the assignment may not be enforceable.

Look at the contract Mom signed. Find the section about assignment, succession, or "binding effect." If it says assignment requires written consent of both parties, and the closing documents (HUD-1 or Closing Disclosure) show a different buyer than the person Mom dealt with, you may have grounds to challenge the deal.

The critical caveat: Wholesalers often skip the NC standard form and use their own custom contracts that explicitly grant them the right to assign. If Mom signed a wholesaler's custom contract with language like "buyer reserves the right to assign this contract to any party at any time," then the assignment is legal. The protection only exists if she signed a contract that requires her consent.

This is exactly why you need a real estate attorney to look at the contract. They can tell you in 15 minutes whether the assignment was legal. If it was not, you have leverage to renegotiate or walk away.

NC contract assignment rules apply to other states too, but the specific language varies. An attorney in your state will know the rules where Mom lives.

The Bottom Line

Here's what I want you to remember when you close this guide:

1. Cash buyers and wholesalers pay 50-70% of market value. That's the math.
2. 5 questions stop 80% of these deals before they hurt anyone. Use them.
3. There are at least 5 other ways to sell a house. Mom doesn't have to take the first offer.
4. Pressure tactics aren't real estate. Real buyers wait. Real buyers welcome legal review.
5. If Mom already signed, you may still have options. Check the contract, check the timeline, call an attorney if needed.

The wholesaler at the door isn't evil. He's running a business. The business just happens to require seniors to make uninformed decisions under time pressure.

You can break that business model in your family by knowing the questions to ask. That's it. That's the whole game.

What's Next

You have free access to the Senior Transition Blueprint dashboard. Inside, you'll find:

- Module 00: Foundations and Quick Start — How to think about senior transitions before the crisis hits
- The 7-Day Quick Start Checklist — Day-by-day actions for the first week after a transition triggers
- The Net Proceeds Calculator — Plug in real numbers to compare cash buyer offers vs. traditional sale
- The Pre-Sale Quiz — Find out which of the 5 selling strategies actually fits Mom's situation

If you want help applying any of this to your specific family, the Blueprint Premium (\$297) includes a 60-minute call with me. We walk through your situation, I tell you what I would do, you take notes. That's it. No pitch for a follow-up.

If you just want the tools and you've got it from here, the Blueprint Core (\$47) gives you the full 19-module course. Read at your own pace.

Either way, this guide is yours to keep. Forward it to your siblings. Print it and leave it on Mom's kitchen counter. The more families that have these questions ready, the fewer wholesalers find easy targets.

Ryan Riggins

Riggins Strategic Solutions

ryan@rigginsstrategicsolutions.com

NC Real Estate License #361546 · eXp Realty

This guide is not legal advice. Real estate contracts vary by state and situation. For a contract Mom has already signed, consult a licensed North Carolina real estate attorney.

© 2026 Riggins Strategic Solutions. Free to share. Not for resale.